



THE INITIATES PLC

The Initiates Plc

2026

Unaudited Account

For The Period Ended 31st
March 2026.





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THE INITIATES PLC

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Directors of **The Initiates Plc** are responsible for the preparation of the financial statements that give a true and fair view of the financial position of the Company and the results of its operations, cashflows and changes in equity for the period ended 31st March 2026, in compliance with International Financial Reporting Standards ("IFRS") and in the manner required by the Companies and Allied Matters Act of Nigeria, the Financial Reporting Council of Nigeria Act, 2011.

In preparing the financial statements, the Directors are responsible for:

- properly selecting and applying accounting policies;
- presenting information, including accounting policies, in a manner that provides relevant, reliable, comparable and understandable information;
- providing additional disclosures when compliance with the specific requirements in IFRSs are insufficient to enable users to understand the impact of particular transactions, other events and conditions on the Company's financial position and financial performance; and
- making an assessment of the Company's ability to continue as a going concern.

The Directors are responsible for:

- designing, implementing and maintaining an effective and sound system of internal controls throughout the Company;
- maintaining adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company, and which enable them to ensure that the financial statements of
- maintaining statutory accounting records in compliance with the legislation of Nigeria and IFRS;
- taking such steps as are reasonably available to them to safeguard the assets of the Company; and
- preventing and detecting fraud and other irregularities.

The financial statements of the Company for the period ended 31st March 2026 were approved by directors on 29th April, 2026.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS BY:

.....
Mr. Joe Ogbonna Anosikeh
Chairman
FRC No:FRC/2014/NIS/00000008836

.....
Mr. Reuben Mustapha Ossai
Managing Director
FRC No:FRC/2014/NIAECHI/00000009687



**CERTIFICATE OF COMPLIANCE OF THE INITIATES PLC PURSUANT TO
SECTION 60(2) OF THE INVESTMENT AND SECURITIES ACT, 2007 FOR THE
FIRST QUARTER ENDED 31ST MARCH 2026**

We hereby certify that:

1. The signing officers have reviewed the financial report;
 2. Based on the knowledge of the officers, the Management account does not:
 - a. Contain any untrue statement of a material fact;
 - b. Omit to state a material fact which would make the statement misleading in the light of the circumstances under which the statement was made;
 3. The financial statement represents fairly the financial condition and result of the operations of the Company as of and for the period indicated;
 4. The signing officers:
 - a. Are responsible for establishing and maintaining internal control.
 - b. Have designed such internal control to ensure that material information relating to the Company is made known to such officers within the entity particularly during the period in which the periodic report was prepared.
 - c. Have evaluated the effectiveness of the Company's internal control as of date within 30 days prior to the time of this account.
- I. The signing officers have disclosed to the Audit Committee of the Company.
- II. All significant deficiencies in the design or operations of the internal controls which would adversely affect the Company's ability to record, process, summarize and report financial data and was identified for any material weakness in internal controls;

Anosikeh, Joe Ogbonna
Chairman

FRC/2014/PRO/DIR/003/00000008836

Ossai, Reuben Mustapha
Chief Executive Officer

FRC/2014/PRO/DIR/003/00000009687

Taneh Rosemary
Chief Financial Officer

FRC/2017/PRO/ICAN/001/00000016060



SECURITIES TRADING POLICY

In compliance with Rule 17.15 Disclosure of Dealings in Issuers' Shares, Rulebook of the Exchange 2015 (Issuers Rule): The Initiates Plc maintains effective Security Trading Policy which guides Directors, Audit Committee members, employees and all individuals categorized as insiders as to their dealing in the Company's shares. The Policy is regularly reviewed and updated by the Board. The Company has made specific inquiries of all the directors and other insiders and is not aware of any infringement of the policy during the period.

Olaide Odejebi

Company Secretary

FRC/2017/PRO/NBA/002/00000016739



THE INITIATES PLC

SHAREHOLDING STRUCTURE AND FREE FLOAT STATUS AS AT THE PERIOD ENDED 31ST MARCH 2026

COMPANY NAME: THE INITIATES PLC.
BOARD LISTED: GROWTH BOARD
YEAR END: 31ST DECEMBER
REPORTING PERIOD: 2026 FIRST QUARTER (1ST JANUARY - 31ST MARCH 2026)
SHARE PRICE AS AT REPORTING DATE: N21.00 (2025: N3.67)

DESCRIPTION	2026		2025	
	UNITS	PERCENTAGE (IN RELATION TO ISSUED SHARE CAPITAL) %	UNITS	PERCENTAGE (IN RELATION TO ISSUED SHARE CAPITAL) %
Issued Share Capital @ 50 Kobo per share	889,981,552	100%	889,981,552	100%
Details of Substantial Shareholdings (5% and above)				
DVCF OIL & GAS PLC	-	-	-	-
OSSAI REUBEN M	156,668,282	17.60	190,695,237	21.43
AFOLAYAN SAMUEL OLAJIDE	-	-	137,798,925	15.48
RICHGATE INVEST SEC LTD	-	-	106,400,000	11.96
OBOH-OZHEREBE GORDON	-	-	58,568,412	6.58
Total Substantial Shareholdings	156,668,282	17.60	493,462,574	55.45
Details of Directors Shareholdings (direct and indirect), excluding directors' holding substantial interests				
ANOSIKEH JOE OGBONNA	15,825,274	1.78	20,295,796	2.28
ALIKOR ACHI EDWARD	1,126,761	0.13	1,126,761	0.13
EBINUM JOSEPH (INDIRECT - BELL IYKE LIMITED)	37,550,000	4.22	37,550,000	4.22
Total Directors' Shareholdings	54,502,035	6.12	58,972,557	6.63
Details of Other Influential shareholdings, if any (E.g. Government, Promoters)				
EMPLOYEES	5,432,282	0.61	5,432,282	0.61
Total of Other Influential Shareholdings	5,432,282	0.61	5,432,282	0.61
Free Float in Unit and Percentage	673,378,953	75.66	332,114,139	37.32
Free Float in Value	N 14,140,958,013.00		N 1,218,858,890.13	

(A) THE INITIATES Plc with a free float percentage of 75.66% as at 31st March 2025, is compliant with The Exchange's free float requirements for companies listed on the GROWTH Board.

(B) THE INITIATES Plc with a free float Value of N14,140,958,013 as at 31st March 2025, is compliant with The Exchange's free float requirements for companies listed on the GROWTH Board.



AUDIT COMMITTEE REPORT OF THE INITIATES PLC

In compliance with Section 359(6) of the Companies and Allied Matters Act CAP.C20, LFN 2004, and Section 60(2) of the Investment and Securities Act 2007, we have reviewed the Management account for the First quarter account ended 31st March 2026 and hereby state as follows:

1. We examined the accounting entries, policies and bases for preparation of the First quarter account ended 31st March 2026; this was in our opinion adequate.
2. We also reviewed the Internal Auditors report for the period as well as the Management's response thereon.
3. We ascertained that the accounting and reporting policies of the Company for the FIRST quarter account ended 31st March , 2026 are in accordance with legal requirements and agreed ethical practices.

In our opinion, the accounting entries, policies and bases of this Management account for the First quarter account ended 31st March 2026 was adequate and Management's response to Internal Auditors' findings thereon was satisfactory.

Dated 28th April, 2026

NWANMA UGOCHUKWU CHRISTIAN

Chairman

FRC/2017/PRO/ ICAN/002/00000016424

Members of the Committee:

Mr. Christian Ugochukwu Nwanma - Chairman/Shareholder Representative

Prof. Edward Alikor - Non-Executive Director

Mr. Joseph Ebinum - Non-Executive Director

Mr. Adegbite Olushola Babawale- Shareholder Representative



THE INITIATES PUBLIC LIMITED COMPANY

HIGHLIGHT OF ACCOUNT FOR THE FIRST QUARTER ENDED 31ST MARCH 2026

STATEMENT OF COMPREHENSIVE INCOME

FOR THE PERIOD ENDED 31ST MARCH

	ACTUAL	HISTROY	CHANGE
	N'Mn	N'Mn	%
Revenue	3,572.76	1,204.26	196.68
Gross Profit	1,897.71	617.07	207.53
Profit Before Tax	1,704.91	466.87	265.18
Provision of Income Tax Expense	579.67	155.26	273.36
Profit for the period	1,125.24	311.61	261.10

STATEMENT OF FINANCIAL POSITION

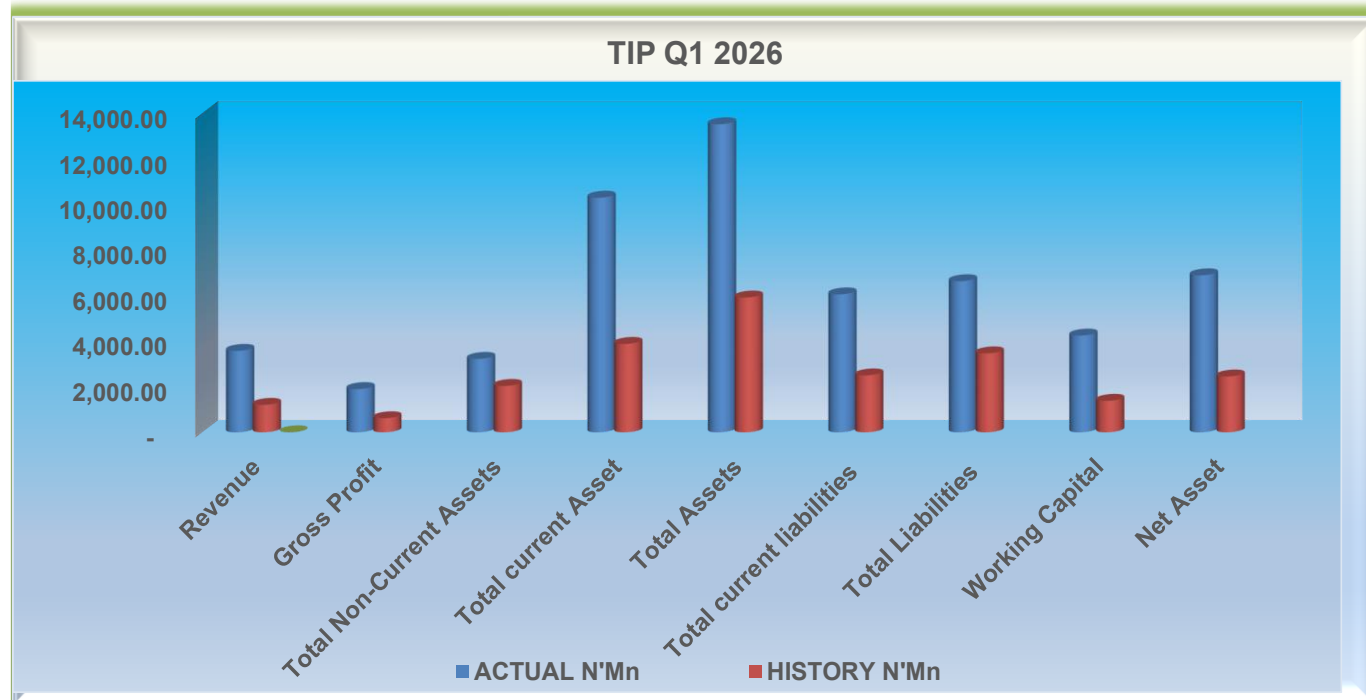
AS AT 31ST MARCH

	ACTUAL	HISTROY	CHANGE
	N'Mn	N'Mn	%
ASSETS			
Non-Current Assets			
Property, plant and Equipment	3,221.18	2,029.61	58.71
Other non - current asset	-	4.60	(100.00)
Total Non-Current Assets	3,221.18	2,034.20	58.35
Current Assets			
Inventories	76.15	46.41	64.09
Trade receivables	8,182.29	3,349.67	144.27
Cash and cash equivalents	1,245.45	465.65	167.47
Current tax assets	629.63	-	100.00
Other current tax assets	159.69	17.07	835.43
Total current Asset	10,293.20	3,878.80	165.37
Total Assets	13,514.39	5,913.00	128.55
Non-Current Liabilities			
Deferred tax	479.24	267.04	79.46
Long Term Borrowing	98.00	700.00	(86.00)
Total Non-Current Liability	577.24	967.04	(40.31)
Current Liabilities			
Trade and Other payables	3,056.04	1,744.67	75.16
Current tax liabilities	2,263.14	155.26	1,357.67
Other current tax liabilities	725.44	405.98	78.69
Employees' benefits	5.21	7.87	(33.79)
Short term borrowings	-	182.95	(100.00)
Total current liabilities	6,049.82	2,496.73	142.31
Total Liabilities	6,627.06	3,463.77	91.33
Working Capital	4,243.38	1,382.07	207.03
Net Asset	6,887.33	2,449.23	181.20

2026 First Quarter Financial Report of The Initiates Plc.



KEY RATIOS		
	THREE MONTHS ENDED 31ST MARCH	
	Q1 2026	Q1 2025
Earnings Per Share	1.26	0.35
Gross Profit Margin	53.12	51.24
Net Profit Margin	31.49	25.88
Net Asset Per Shares	7.75	3.20
Return on Capital Employed	15.05	9.12
Current Ratios	1.70	1.55
Net Working Capital:	1.19	1.15
Fixed Asset Turnover:	1.20	0.63
Receivables Turnover	0.87	0.72
Payables Turnover	0.95	0.52
Return On Equity	0.16	0.11
Return On Assets	0.26	0.20
Price Earning per Share	0.40	1.43
Gearing Ratio	0.01	0.17
Return on Sales	0.31	0.26
Annual Revenue Increase	1.97	3.88
Annual Net Profit Increase	2.61	1.00
Net Profit Per Staff	18,753,975.92	5,665,663.33



Graphical representation of TIP's FIRST QUARTER 2026 performance



THE INITIATES PLC

Q1 2026 EXECUTIVE FINANCIAL SUMMARY

Overview:

The Initiates Plc delivered a **strong financial performance in Q1 2026**, marked by significant revenue growth, exceptional profitability, and improved liquidity.

1. Revenue & Profitability Performance:

The company recorded strong top-line growth, with turnover of **₦3.57 billion**, representing a significant increase of approximately **196%** compared to Q1 2025. This indicates substantial expansion in business activity.

Profitability improved even more sharply:

- Gross Profit rose to **₦1.90 billion (+207% YoY)**
- Operating Net Profit reached **₦1.13 billion (+261% YoY)**
 - ❖ This suggests not only higher revenue but also improved cost efficiency and margin expansion.

2. Financial Position & Asset Growth:

Total assets increased to **₦13.53 billion**, more than doubling from Q1 2025 (**+129% YoY**), driven largely by:

- Strong growth in **current assets (+165%)**
- Moderate growth in **non-current assets (+59%)**
 - ❖ The company is expanding aggressively, with a strong emphasis on **short-term assets**, which may support liquidity and operations.

3. Capital Structure & Leverage:

- **Total Equity:** **₦6.90 billion (+142% YoY)**
- **Current Liabilities:** **₦6.04 billion (+142% YoY)**



- **Non-current Liabilities** remain relatively low
- ❖ Growth is being financed through a **balanced mix of equity and short-term liabilities**, with a **low reliance on long-term debt**, indicating a relatively conservative capital structure.

4. Liquidity & Working Capital:

- **Working Capital:** ₦4.24 billion (+207% YoY)
- Estimated **Current Ratio** ≈ 1.70
- ❖ Liquidity position is **strong**, with sufficient short-term assets to cover obligations. The significant improvement in working capital suggests better **operational cash flow management**.

5. Key Strengths:

- Exceptional **revenue and profit growth**
- Strong **margin expansion**
- Robust **liquidity and working capital position**
- Growing **equity base**, supporting financial stability

Conclusion:

Q1 2026 results demonstrate that The Initiates Plc is on a **strong growth trajectory**, with **robust profitability and solid financial health**. Sustained focus on revenue optimization, liability management, and asset efficiency will be key to maintaining momentum.



THE INITIATES PLC

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE PERIOD ENDED 31ST MARCH 2026

		ACTUAL Q1 2026 N	REVENUE %	HISTORY Q1 2025 N	CHANGE %	2025 N	2024 N
Continuing Operations	Note						
Revenue from contracts with customers	6	3,572,761,070	100%	1,204,257,802	196.68	11,698,628,274	4,663,473,951
Cost of sales	7	(1,675,048,431)	-47%	(587,182,846)	185.27	(5,536,333,942)	(2,153,641,960)
Gross profit		1,897,712,640	53%	617,074,957	207.53	6,162,294,332	2,509,831,991
Other income	6a	37,185,584	1%	-	-	73,843,240.00	189,910,803
Staff costs	8	44,430,011	1%	24,316,511	82.72	226,807,931	115,439,125
Depreciation and impairment loss	9	34,625,959	1%	5,600,052	518.31	53,202,822	10,872,692
Administrative expenses	10	139,384,281	4%	101,820,993	36.89	1,045,660,381	440,784,295
Total Indirect Cost		218,440,251	6%	131,737,556	65.81	1,325,671,134	567,096,112
Results from operating activities		1,716,457,974	48%	485,337,400	253.66	4,910,466,438	2,132,646,682
Finance cost	12	11,551,072	0%	18,468,747	(37.46)	44,935,386	80,205,167
Share of profit of associate						205,998,407	-
Profit before tax		1,704,906,902	48%	466,868,654	265.18	5,071,529,459	2,052,441,515
Provision for Income tax expense	13a	579,668,347	16%	155,257,171	273.36	(1,683,474,442)	(672,757,469)
Profit for the year		1,125,238,555	31%	311,611,483	261.10	3,388,055,017	1,379,684,046
Other Comprehensive income							
Investment Income received from TIU 6a				52,706,908	(100.00)	-	-
Foreign currency translation difference	6b	-		-	-	226,612,100	
Revaluation surplus on property, plant and Exchange difference on translation of investment in foreign associate	28	-	-	10,918,681	(100.00)	(19,443,649)	-
Other comprehensive income for the year		-		63,625,590	(100.00)	207,168,451	-
Total comprehensive income for the year		1,125,238,555		375,237,073	199.87	3,595,223,468	1,379,684,046
Basic earnings per share (kobo)	40	1.26		0.35	261.10	3.81	1.55

The notes on pages 16 to 28 form part of these financial statements.



THE INITIATES PLC

STATEMENT OF FINANCIAL POSITION

AS AT 31ST MARCH 2026

	Note	ACTUAL YTD 2026	HISTORICAL YTD 2025	CHANGE %	2025 N	2024 N
Assets						
Non-current assets						
Property, plant and equipment	15	2,981,715,832	1,923,988,161	54.98	2,698,515,490	1,930,266,501
Other non-current assets	16	-	4,596,867	(100.00)	-	4,596,867
Intangible asset	14a	10,965,000	-	100.00	10,965,000	-
Investment	20	239,467,162	105,619,312	126.73	239,467,162	105,619,312
		3,232,147,994	2,034,204,340	58.89	2,948,947,652	2,040,482,680
Current assets						
Inventories	17	76,152,025	46,408,424	64.09	35,346,086	29,152,525
Trade and other receivables	21	8,182,286,387	3,349,671,492	144.27	6,032,652,586	2,976,976,086
Cash and cash equivalents	22	1,245,447,852	465,646,487	167.47	2,541,946,005	47,580,386
Current tax assets	23	629,630,650	-	100.00	-	-
Other current assets	24	159,687,483	17,071,041	835.43	168,452,509	26,070,001
Total current assets		10,293,204,396	3,878,797,445	165.37	8,778,397,186	3,079,778,998
Total Assets		13,525,352,390	5,913,001,785	128.74	11,727,344,838	5,120,261,678
Equity and Liabilities						
Equity						
Share capital	26	444,990,776	444,990,776	-	444,990,776	444,990,776
Share premium	27	17,780,000	17,780,000	-	17,780,000	17,780,000
Revaluation reserve	28	303,473,535	303,473,535	-	303,473,535	303,473,535
Retained earnings	29	6,132,047,020	2,082,988,676	194.39	5,006,808,465	1,707,751,603
Foreign currency translation reserve		-	-	-	207,168,451	-
Total equity		6,898,291,331	2,849,232,987	142.11	5,980,221,227	2,473,995,914
Non-current liabilities						
Deferred tax liabilities	14	479,237,574	267,041,580	79.46	479,237,574	267,041,580
Long Term Borrowing	33	98,000,000	300,000,000	(67.33)	98,000,000	350,000,000
Current liabilities						
Trade and other payables	30	3,132,903,564	1,744,670,663	79.57	3,187,255,524	1,104,400,731
Current tax liabilities	14	2,186,274,312	155,257,171	1,308.16	1,606,605,965	386,375,722
Other current tax liabilities	31	725,436,803	405,982,048	78.69	597,668,143	353,915,595
Employees' benefits	32	5,208,806	7,866,517	(33.79)	4,968,505	5,726,408
Short term borrowing	33	-	182,950,820	(100.00)	-	178,805,728
Total current liabilities		6,049,823,485	2,496,727,218	142.31	5,396,498,137	2,029,224,184
Total liabilities		6,627,061,059	3,063,768,798	116.30	5,973,735,711	2,646,265,764
Total equity and liabilities		13,525,352,390	5,913,001,785	128.74	11,953,956,938	5,120,261,678

These financial statements were approved by the Board of Directors on 29TH APRIL 2026 and signed on its behalf by:

Mr. Joe Ogbonna Anosikeh
Chairman
FRC/2014/PRO/DIR/003/00000008836

Mr. Reuben Mustapha Ossai
Managing Director
FRC/2014/PRO/DIR/003/00000009687

Rosemary Taneh
Chief Finance Officer
FRC/2017/PRO/ICAN/001/00000016060

The notes on pages 16 to 28 form part of these financial statements.



THE INITIATES PLC

STATEMENT OF CHANGES IN EQUITY

FOR THE PERIOD ENDED 31ST MARCH 2026

	Share capital N	Share premium N	Revaluation reserve N	Retained earnings N	Total Equity N
At 1 January	444,990,776	17,780,000	303,473,535	5,006,808,465	5,773,052,776
Profit for the year	-	-	-	1,125,238,555	1,125,238,555
	444,990,776	17,780,000	303,473,535	6,132,047,020	6,898,291,331
At 31st March	444,990,776	17,780,000	303,473,535	6,132,047,020	6,898,291,331

FOR THE PERIOD ENDED 31ST MARCH 2025

	Share capital N	Share premium N	Revaluation reserve N	Retained earnings N	Total Equity N
At 1 January	444,990,776	17,780,000	303,473,535	1,707,751,603	2,473,995,914
Profit for the year	-	-	-	375,237,073	375,237,073
	444,990,776	17,780,000	303,473,535	2,082,988,676	2,849,232,987
At 31 March	444,990,776	17,780,000	303,473,535	2,082,988,676	2,849,232,987



THE INITIATES PLC

STATEMENT OF CASH FLOWS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026 N	HISTORY Q1 2025 N	CHANGE %	2025 N	2024 N
Note					
Cashflow from Operating Activities					
Cashflows from Operations	3,001,981,472	963,716,000	211.50	10,225,593,573	1,498,034,998
Cash Paid to Suppliers	(1,942,871,037)	(357,494,002)	443.47	(4,838,973,805)	(646,769,516)
Cash Paid to Employees	(44,430,011)	(24,316,511)	82.72	(341,647,556)	(186,605,862)
Paid to Government (taxes)	-	-	-	(55,442,599)	(17,890,570)
Share of profit of foreign associate	-	-	-	(205,998,407)	-
Total	1,014,680,424	581,905,486	74.37	4,783,531,206	646,769,050
Cashflow from Investment Activities					
Acquisition of property, plant and equipment 33.3	(238,610,440)	-	100.00	(758,898,101)	(359,823,431)
Asset-in-transit 33.3	(2,098,202,650)	(19,271,818)	10,787.41	(1,051,207,789)	(150,050,804)
Payment for intangible asset	-	-	-	(10,965,000)	-
Gain on disposal of property, plant and equipment	-	-	-	5,129,167	-
Interest on unclaimed dividends	-	-	-	64,470.00	493,099
Interest received	37,185,584	-	100.00	38,744,027	430
Investment Income Received from TIU	-	52,706,908	(100.00)	52,706,908	138,144,819
Total	(2,299,627,506)	33,435,090	(6,977.89)	(1,724,426,318)	(371,235,887)
Cashflow from Financing Activities					
Income from Sales of Equity Shares	-	-	-	-	-
Borrowings	-	(178,805,728)	(100.00)	496,534,787	656,864,418
Repayment of borrowings	-	-	-	(927,340,515)	(947,876,590)
Dividends paid to Shareholders	-	-	-	(88,998,155)	(53,398,893)
Unclaimed dividends paid to Shareholders	-	-	-	-	(3,000,000)
Finance cost	(11,551,072)	(18,468,747)	(37.46)	(44,935,386)	(80,205,167)
Total	(11,551,072)	(197,274,475)	(94.14)	(564,739,269)	(427,616,232)
Net Cash Flow	(1,296,498,153)	418,066,101	(410.12)	2,494,365,619	(152,083,069)
Opening Balance	2,541,946,005	47,580,386	(98.13)	47,580,386	199,663,455
Closing Balance	1,245,447,852	465,646,487	167.47	2,541,946,005	47,580,386



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026 N	HISTORY Q1 2025 N	CHANGE %	2025 N	2024 N
6. Revenue from contracts with customers					
Waste Management Service	2,636,392,473	762,121,959	245.93	10,219,898,612	3,640,790,096
Industrial Cleaning Service	936,368,597	442,135,844	111.78	1,478,729,663	1,022,683,856
	3,572,761,070	1,204,257,802	196.68	11,698,628,274	4,663,473,951
The revenue from contracts with customers is made up of:					
TDU Kwale	2,344,300,824	459,929,314	409.71	8,734,688,867	1,562,640,196
TDU Phc	243,484,239	100,520,790	142.22	630,253,423.39	1,852,317,198
Incineration	48,607,410	28,300,548	71.75	636,524,136.68	168,373,724
E- Waste	-	136,117,913	(100.00)	181,178,790.52	55,220,377
Asbestos	-	37,253,394	(100.00)	37,253,394.00	2,238,600
Vessel	8,357,364	12,000,000	(30.36)	1,375,000	3,510,000
FPSO	928,011,233	430,135,844	115.75	1,477,354,663	1,019,173,856
	3,572,761,070	1,204,257,802	196.68	11,698,628,274	4,663,473,951
6a. Other income					
Interest Received	37,185,584	-	100.00	38,744,027	430
Dividend Received	-	52,706,908	(100.00)	-	138,504,917
Gain on disposal of property, plant and equipment				5,129,167	
Debt recovery	-	-	-	29,417,468	-
Sundry income	-	-	-	552,578.00	934,177
	37,185,584	52,706,908	(29.45)	73,843,240	139,439,524
6b Foreign exchange gains					
This represents exchange difference arising from translation of foreign currency transactions during the year under review.					
Realized foreign exchange gains			-		
Unrealized foreign exchange gains	-	10,918,681	(100.00)	226,612,100	50,471,279
Foreign exchange gains	-	10,918,681	(100.00)	226,612,100	50,471,279



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

		ACTUAL HISTORY				
		Q1 2026	Q1 2025	CHANGE	2025	2024
		N	N	%	N	N
7.	Cost of sales					
	Waste Logistics	362,024,096	117,868,350	207.14	1,137,596,888.00	545,443,490
	Waste Treatment	389,245,795	15,476,470	2,415.08	1,389,497,440.86	171,066,208
	Waste Disposal	80,491,290	-	100.00	593,342,577.67	
	Rentals	25,780,651	125,605,961	(79.47)	218,878,240.00	448,815,393
	Diesel and Lubricant	45,592,400	11,500,575	296.44	117,519,313.00	48,665,364
	Equipment Maintenance	41,787,480	12,195,673	242.64	376,603,799.00	95,717,102
	Direct Employee Cost	33,553,170	21,877,780	53.37	114,839,625.00	71,166,737
	Transport and Traveling	9,874,376	3,065,650	222.10	18,790,592.00	12,015,290
	Consumables	617,485,922	242,499,789	154.63	1,334,977,379.00	619,180,869
	Depreciation	25,735,262	17,830,312	44.33	93,176,258.00	56,562,167
	Direct Wages	16,909,000	3,218,800	425.32	16,304,000.00	49,944,389
	Community Relations	1,610,000	9,204,900	(82.51)	93,600,782.00	14,959,500
	Compliance Monitoring/ Permits/QHSE	19,294,990	6,838,584	182.15	29,207,047.00	18,664,451
	Biz Dev	5,664,000	-	100.00	2,000,000.00	1,441,000
	Total Cost of Service	1,675,048,431	587,182,846	185.27	5,536,333,942	2,153,641,960
8.	Staff costs					
	Staff Salaries and Wages (Corporate)	32,476,537	17,972,826	80.70	219,097,336	135,043,970
	Transfer Allowance	(339,000)	1,132,625	(129.93)	-	4,004,562
	Staff Pensions (Employer)	2,492,625	-	100.00	14,383,700	29,820,000
	Staff Welfare	100,000	943,800	(89.40)	61,025,000	-
	Leave Allowance	1,795,200	463,813	287.05	-	4,722,135
	Terminal Benefit	847,810	-	100.00	24,626,276	-
	Medical Expense	7,056,839	3,803,448	85.54	22,515,244	13,015,195
		44,430,011	24,316,511	82.72	341,647,556	186,605,862
8b.	Total employee costs recognised in profit or loss					
	Cost of sales	33,553,170	21,877,780	53.37	114,839,625	71,166,737
	Administrative expenses	44,430,011	24,316,511	82.72	226,807,931	186,605,862
		77,983,181	46,194,292	68.82	341,647,556	257,772,599
9.	Depreciation and impairment loss:					
	Depreciation	34,625,959	5,600,052	518.31	53,202,822	10,872,692



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL	HISTORY			
	Q1 2026	Q1 2025	CHANGE	2025	2024
	N	N	%	N	N
10. Administrative expenses					
Directors' emolument	13,020,000	12,432,800	4.72	54,007,000	27,360,000
Directors' allowances and expenses	2,515,000	2,685,000	(6.33)	88,182,277	12,141,931
Directors' fees	1,300,000	1,912,500	(32.03)	5,200,000	5,200,000
Transport and travelling expenses	3,069,325	3,733,900	(17.80)	24,331,409	12,269,975
Legal and professional fees	15,376,457	42,778,888	(64.06)	30,303,507	12,294,141
Electricity	1,811,839	1,702,426	6.43	9,232,819	2,806,693
Fuel and diesel	13,925,900	9,097,375	53.08	39,294,638	42,372,670
Licenses and levies	2,088,800	170,000	1,128.71	402,500	464,700
Donation & Gift	600,000	620,000	(3.23)	3,320,000	1,890,000
Repairs and maintenance	1,833,168	2,195,300	(16.50)	10,082,964	11,116,100
Printing and stationery	1,515,638	887,440	70.79	5,187,208	1,666,489
Insurance	4,703,121	2,380,578	97.56	13,441,609	10,505,604
Telephone and postage	416,000	181,377	129.36	2,065,372	1,575,095
Entertainment	494,100	680,800	(27.42)	2,197,500	471,300
Advert and publicity	6,425,040	-	100.00	916,000	-
Internet expenses	822,600	325,234	152.93	6,734,580	7,377,432
QHSE Compliance	1,595,263	2,954,317	(46.00)	24,667,908	7,102,112
Industrial Training Fund	-	-	-	4,301,719	4,225,460
Bank charges	2,714,353	1,234,177	119.93	19,529,455	9,558,429
Conference and exhibition	7,604,609	-	100.00	6,560,500	984,373
Training expenses	100,000	-	100.00	6,292,300	-
Local content tax	22,654,404	6,218,617	264.30	88,525,099	20,199,227
Subscription	1,781,614	962,748	85.06	2,996,534	9,369,136
Meal expenses	5,218,950	3,330,100	56.72	15,680,650	9,409,700
Corporate social responsibility	17,128,300	-	100.00	62,796,000	-
Balances written off	-	-	-	-	1,562
Auditors' remuneration	2,500,000	1,500,000	66.67	5,500,000	4,000,000
Provision for doubtful debts	-	-	-	264,323,922	169,049,145
Security expenses	3,900,618	2,563,932	52.13	12,552,507	9,213,856
Net foreign exchange losses	-	-	-	226,612,100	39,492,374
Office and general expenses	4,269,180	1,273,485	235.24	10,422,304	8,666,791
	139,384,281	101,820,993	36.89	1,045,660,381	440,784,295



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026 N	HISTORY Q1 2025 N	CHANGE	2025 N	2024 N
11. Results from operating activities is stated					
Director's emolument:					
- Fees	1,300,000	1,912,500	(32.03)	5,200,000	5,200,000
- Others	15,535,000	15,117,800	2.76	142,189,277	39,501,931
Depreciation and impairment loss	60,361,221	23,430,364	157.62	146,379,080	67,434,859
Auditors' remuneration	2,500,000	1,500,000	66.67	5,500,000	4,000,000
12. Finance cost					
This represents interests charged by BOI and Providus Bank Plc on loan and invoice discounting facilities obtained respectively					
Other financial charges		-	-	34,225,898	13,589,256
Interest on loans	11,551,072	18,468,747	(37.46)	10,709,488	66,615,911
	11,551,072	18,468,747	(37.46)	44,935,386	80,205,167
13. Taxation					
13a Income tax expense					
Company income tax	511,472,071	140,060,596	265.18	1,286,719,325	459,654,297
Development Levy @ 4%	68,196,276	-	100.00	-	-
Education tax	-	14,006,060	(100.00)	154,129,029	60,682,662
Police Trust Fund	-	23,343	(100.00)	243,277	102,622
NASENI	-	1,167,172	(100.00)	12,163,828	5,131,104
	579,668,347	155,257,171	273.36	1,453,255,459	525,570,685
Prior year unpaid Tax liability	1,683,474,442	-	100	-	-
Prior year under-provision	-	-		18,022,989	2,272,083
Current tax expense	2,263,142,789	155,257,171	1,357.67	1,471,278,448	527,842,768
Deferred tax	-	-	-	212,195,994	144,914,701
Income tax expense as per profit or loss	2,263,142,789	155,257,171	1,357.67	1,683,474,442	672,757,469



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026 N	HISTORY Q1 2025 N	CHANGE	2025 N	2024 N
13b Current tax liabilities					
Movement in Income tax liabilities					
At 1 January	1,606,605,965	-	-	386,375,722	16,685,346
Prior year under-provision	-	-	-	18,022,989	2,272,083
Payments during the year	-	-	-	(55,442,599)	(17,890,570)
Tax charge for the year	579,668,347	155,257,171	273.36	1,453,255,459	525,570,685
Withholding tax credit notes applied	-	-	-	(195,605,606)	(140,261,822)
At 31st March	2,186,274,312	155,257,171	1,308.16	1,606,605,965	386,375,722
13.3 Reconciliation of effective tax rate					
Profit/(loss) for the year before tax	1,704,906,902	466,868,654	265.18	5,071,529,459	2,052,441,515
Unrealized exchange gains	-	(52,706,908)	(100.00)	(205,998,407)	(138,504,917)
	1,704,906,902	414,161,745	311.65	4,865,531,052	1,913,936,598
Minimum tax					
Income tax using the company's domestic tax rate	511,472,071	124,248,524	311.65	1,459,659,316	574,180,979
Development Levy	68,196,276	-	-	-	-
Education tax	-	8,283,235	(100.00)	145,965,932	57,418,098
NASENI	-	1,035,404	(100.00)	243,277	5,131,104
Police Trust Fund	-	20,708	(100.00)	12,163,828	102,622
Tax effect on expenses not deductible for tax purposes	-	-	-	91,486,701	35,910,202
Tax effect on capital allowances	-	-	-	(256,263,594)	(147,172,320)
Tax effect on tax incentives	-	-	-	18,022,989	2,272,083
Under-provision in prior year	-	-	-	212,195,994	144,914,701
Tax charge in income statement (Income tax and	579,668,347	133,587,871	333.92	1,683,474,442	672,757,469
Effective tax rate	34	29	18.82	33.19	32.78



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

14 Deferred tax liabilities

	ACTUAL Q1 2026	HISTORY Q1 2025	CHANGE	Accelerated tax	Depreciation	Total
	N	N		N	N	N
At 1 January 2025	479,237,574	60,392,891	693.53	100,000,579	22,126,300	122,126,879
Movement in the year	-	39,607,688	(100)	144,914,701	-	144,914,701
At 31st March	479,237,574	100,000,579	379.23	244,915,280	22,126,300	267,041,580
Movement in the year	-	144,914,701	(100.00)	212,195,994	-	212,195,994
At 31st March	479,237,574	244,915,280	95.67	457,111,274	22,126,300	479,237,574

14.a Intangible asset

10,965,000	-	100.00	10,965,000	-
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This represents cost of design, develop and deployment of a software.

15. Property, Plant and Equipment

15.1 Summary

The carrying amount of property, plant and equipment is stated as follows;

	ACTUAL YTD 2026	HISTORICAL YTD 2025	CHANGE	2025	2024
	N	N	%	N	N
Land	91,863,787	71,733,787	28.06	71,733,787	71,733,787
Buildings	561,054,342	355,176,226	57.97	378,616,568	349,314,123
Capital Work-in-Progress	35,905,672	302,879,950	(88.15)	-	302,879,950
Motor Vehicle	387,626,344	8,279,448	4,581.79	416,050,000	1,184,245,252
Plant and Machinery	1,850,913,696	1,175,825,423	57.41	1,791,973,506	9,412,479
Furniture and Fittings	13,004,619	1,414,290	819.52	14,254,357	1,546,777
Office & HSE Equipment	41,347,372	8,679,037	376.41	25,887,272	11,134,133
	2,981,715,832	1,923,988,161	54.98	2,698,515,490	1,930,266,501



NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31ST MARCH 2026

	Land	Buildings	Capital Work- in-Progress	Plant and Machinery	Motor Vehicles	Furniture and Fittings	Office & HSE Equipment	Total
	N	N	N	N	N	N	N	N
15.2 Deemed Cost								
At 1 January 2026	71,733,787	409,122,770	-	1,956,918,273	454,778,500	23,947,299	46,466,470	2,962,967,100
At 31 March 2026	71,733,787	409,122,770	-	1,956,918,273	454,778,500	23,947,299	46,466,470	2,962,967,100
Additions in the year	20,130,000	185,410,440		15,630,000	-	-	17,440,000	238,610,440
Transfer	-	-	35,905,672	228,033,742				263,939,414
At 31 March 2026	91,863,787	594,533,210	35,905,672	2,200,582,015	454,778,500	23,947,299	63,906,470	3,465,516,954
Accumulated Depreciation and impairment loss								
At 1 January 2026	-	(30,506,202)	-	(323,933,058)	(38,728,500)	(9,692,942)	(20,579,198)	(423,439,900)
At 31 March 2026	-	(30,506,202)	-	(323,933,058)	(38,728,500)	(9,692,942)	(20,579,198)	(423,439,900)
Charge for the year		(2,972,666)		(25,735,262)	(28,423,656)	(1,249,738)	(1,979,900)	(60,361,221)
At 31 March 2026	-	(33,478,868)	-	(349,668,320)	(67,152,156)	(10,942,680)	(22,559,098)	(483,801,122)
Carrying amount								
At 31 March 2026	91,863,787	561,054,342	35,905,672	1,850,913,696	387,626,344	13,004,619	41,347,372	2,981,715,832
At 31 March 2025	71,733,787	355,176,226	302,879,950	1,175,825,423	8,279,448	1,414,290	8,679,037	1,923,988,161

15.2A FOR THE PERIOD ENDED 31ST MARCH 2025

	Land	Buildings	Capital Work- in-Progress	Motor Vehicle	Plant and Machinery	Furniture and Fittings	Office & HSE Equipment	Total
	N	N	N	N	N	N	N	N
Deemed Cost								
At 1 January 2025	71,733,787	379,887,370	302,879,950	1,426,425,046	18,128,500	7,390,299	25,776,070	2,232,221,022
Addition in the period								-
At 31st March	71,733,787	379,887,370	302,879,950	1,426,425,046	18,128,500	7,390,299	25,776,070	2,232,221,022
Accumulated Depreciation and impairment loss								
At 1 January 2025	-	22,811,707	-	232,769,310	8,716,021	5,843,522	14,661,937	284,802,497
Charge for the year	-	1,899,437		17,830,313	1,133,031	132,487	2,435,097	23,430,364
At 31st March	-	24,711,144	-	250,599,623	9,849,052	5,976,009	17,097,034	308,232,861
Carrying amount								
At 31st March 2025	71,733,787	355,176,226	302,879,950	1,175,825,423	8,279,448	1,414,290	8,679,037	1,923,988,161
At 31st December 2024	71,166,593	207,785,234	645,658,862	13,944,604	573,552,709	1,936	2,449,962	1,514,559,899



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	2025 N	2024 N
15.3 Deemed cost					
On 5 November 2018, the company's property, plant and equipment were revalued by Messrs. Jide Taiwo & Co (Estate Surveyors and Valuers - FRC/2012/00000000254) on the basis of open market value of N880,800,000. The revalued amount was incorporated in these financial statements. The surplus of N221,263,007 arising therefrom was transferred to revaluation reserve account.					
15.4 Capital work-in-progress					
These represent costs of property, plant and equipment acquired year which have n					
Gerotto Robotic Tank Cleaning Equ	-	302,879,950	(100.00)	-	302,879,950
Offshore 20" ft Container	35,905,672	-	100.00	-	-
	35,905,672	302,879,950	(88.15)	-	302,879,950
15.5 Depreciation					
Cost of sales	25,735,262	17,830,312	44.33	93,176,258	56,562,167
Administrative expenses	34,625,959	5,600,052	518.31	53,202,822	10,872,692
	60,361,221	23,430,364	157.62	146,379,080	67,434,859
15.6 Administrative expenses					
Depreciation	34,625,959	5,600,052	518.31	51,927,822	1,441,000
Impairment loss	-	-	-	1,275,000	-
	34,625,959	5,600,052	518.31	53,202,822	1,441,000
15.7 Impairment loss					
Some of the laptops purchased in the current year were not in good condition and as a result of this, the carrying amount before the impairment was recognised as an impairment loss.					
15.8 Security					
All the Company's property, plant and equipment were pledged as security as at 31st March 2026.					
16. Other non-current assets					
Prepaid fees on Loan	-	726,867	(100.00)	-	726,867
Deferred costs	-	3,870,000	(100.00)	-	3,870,000
	-	4,596,867	(100.00)	-	4,596,867



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	2025 N	2024 N
17. Inventories					
Diesel	53,941,000	25,084,800	115.03	11,085,300	13,812,750
QHSE Consumables	1,952,775	6,993,191	(72.08)	2,214,138	2,154,000
Stationeries	1,075,253	165,577	549.40	702,091	222,317
Technical/Electrical items	18,577,009	10,204,686	82.04	20,526,989	12,782,559
Other consumables	605,988	3,960,171	(84.70)	817,568	180,899
	76,152,025	46,408,424	64.09	35,346,086	29,152,525

The value of inventories recognised as an expense during the period was N37.22 million (2025: N54.7 million).

No inventory was pledged as security during the year.

The Company uses First In First Out method in valuing its inventory.

18 Key management personnel and staff loans

Loan to key management personnel	-	-	-	-	-
Staff loans and advances	53,064,772	15,466,030	(243.11)	61,989,113	474,237
Allowance for expected credit losses	-	-	-	-	-
	53,064,772	15,466,030	(243.11)	61,989,113	474,237

19.1 Relationship with key management Personnel

Key management personnel include the Directors and the management staff of the Company

20. Investment in associate

Investments as at 31st March	-	-	-	239,467,162	105,619,312
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This represents investment in The Initiates Uganda Limited. The Initiates Plc owns minority interest of 36%, while majority holding is by Dag & Bragan Oil & Gas Services Limited - 60%, balance holding of 4% by Reuben Ossai.

The Initiates Uganda Limited was incorporated in November 2018 with the above mentioned Shareholders, and the company commenced operation in 2022.

At 1 January	105,619,312	105,259,214	0.34	105,619,312	105,259,214
Additions in the year	-	360,098	(100.00)	-	360,098
Share of profit	205,998,407		100.00	205,998,407	-
Exchange difference on translation of foreign associate	(19,443,649)		100.00	(19,443,649)	-
Dividend received in the year	(52,706,908)		100.00	(52,706,908)	-
	239,467,162	105,619,312	126.73	239,467,162	105,619,312

The Initiates Plc holds a 36% equity interest in The Initiates Uganda Limited, which is classified as an associate. The associate's reporting period is 1 July 2024 - 30 June 2025 while the Company's reporting period is 1 January - 31 December 2025. The investment is accounted for using the equity method in accordance with IAS 28 Investments in Associates and Joint Ventures.

Under the equity method, the investment is initially recognized at cost and subsequently adjusted for the Company's share of the associate's profit or loss and dividends received. The share of profit of the associate is recognized in profit or loss while the exchange differences arising from the translation of the Company's net investment in a foreign associate from the associate's functional currency to the Company's presentation currency, are recognized in other comprehensive income, and accumulated in the foreign currency translation. For the year ended 31 December 2025, the Company recognized its share of profit based on the most recent audited financial statements of the associate (1 January - 30 June 2025) and management accounts for the period 1 July - 30 September 2025.

2026 First Quarter Financial Report of The Initiates Plc.



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026	HISTORY YTD 2025	CHANGE	2025	2024
	N	N	N	N	N
21. Trade and other receivables					
Accounts Receivable (A/R)	2,221,256,299	884,409,968	151.16	2,346,179,902	775,117,841
Accounts Receivable (A/R) - USD	3,809,762,666	2,279,820,676	67.11	3,002,146,223	2,233,694,998
Provision for Doubtful debt	-	-	-	(417,920,444)	(183,013,989)
Staff loans and advances	53,064,772	15,466,030	243.11	61,989,113	474,237
Asset - in- Transit	2,098,202,650	169,322,622	1,139.17	1,040,257,792	150,050,804
Other receivables	-	652,196	(100.00)	-	652,195
	8,182,286,387	3,349,671,492	144.27	6,032,652,586	2,976,976,086
21.1 Asset-in-transit					
At 1 January	1,040,257,792	150,050,804	593.27	150,050,804	385,647,186
Addition in the year	1,321,884,272	19,271,818	6,759.16	1,051,207,789	150,050,804
Transfer	(263,939,414)	-	100.00	(161,000,801)	(385,647,186)
At 31 March	2,098,202,650	169,322,622	1,139.17	1,040,257,792	150,050,804
Asset - in- Transit: This represents Inspection Equipment, TDU, Crane and Solid Control equipment which has not been received by The Initiates Plc as at 31st March 2025					
21.2 Initiates Plc as at 31st March 2025					
21.4 Trade receivables					
Receivables from customers	6,031,018,965	3,164,230,644	90.60	5,348,326,125	3,008,812,840
Allowance for expected credit losses	-	-	-	(417,920,444)	(183,013,990)
	6,031,018,965	3,164,230,644	90.60	4,930,405,681	2,825,798,850
Ageing of trade receivables					
Current	1,499,608,746	391,722,335	282.82	4,340,713,862	1,973,924,423
1 - 30 days past due	1,589,019,576	847,183,155	87.57	360,145,836	1,926,782
31 - 60 days past due	1,173,536,693	838,570,370	39.94	255,820,497	164,115,002
61 - 90 days past due	859,750,498	939,628,650	(8.50)	2,926,347	603,963,008
Over 90 days past due	909,103,452	147,126,135	517.91	388,719,583	264,883,625
	6,031,018,965	3,164,230,644	90.60	5,348,326,125	3,008,812,840
21.5 Movement in allowance for credit losses					
At 1 January	417,920,444	183,013,990	128.35	183,013,990	13,964,845
Debt recovery	-	-	-	(29,417,468)	-
Allowance for the year	-	-	-	264,323,922	169,049,145
At 31st March 2026	417,920,444	183,013,990	128.35	417,920,444	183,013,990



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026	HISTORY YTD 2025	CHANGE	2025	2024
	N	N	%	N	N
22. Cash and cash equivalents					
Cash and cash equivalents represent cash in hand and at bank as at end of period.					
Cash in hand	742,709	107,848	588.66	2,182,655.00	106,400
Cash at bank	190,449,176	461,484,347	(58.73)	1,328,736,919	43,419,694
	191,191,885	461,592,195	(58.58)	1,330,919,574	43,526,094
Short Term Investment	1,054,255,967	4,054,292	25,903.45	1,211,026,431	4,054,292
	1,245,447,852	465,646,487	167.47	2,541,946,005	47,580,386
22.1 Short term deposits					
Investment in Apel Investment Trust	3,764,978	4,118,762	(8.59)	4,118,762	4,118,762
Investment in GT Money Market Fund	1,050,490,989	-	100.00	1,206,907,669	-
	1,054,255,967	4,118,762	25,496.43	1,211,026,431	4,118,762
22.1a Investment in Apel Investment Limited					
This represents the balance of unclaimed dividends invested in Apel Investment Trust in the previous					
22.1b Investment in GT Money Market					
In the current period, the company has a closing balance of N1.050 billion invested in GT Money Market Fund, a money market fund managed by Guaranty Trust Fund Managers Limited. The investment does not have a fixed tenor and is open-ended, allowing the Company to maintain the investment for any period while retaining the right to redeem units at any time. Returns on the investment accrue daily based on the performance of the underlying portfolio and are not subject to a fixed interest rate.					
23. Current tax assets					
These represent withholding tax receivable as at period end.					
At 1 January	-	-	-	-	57,687,440
Adjustment	-	-	-	-	(30,546,742)
Withholding tax in the year	629,630,650	-	100.00	195,605,606	113,121,124
Withholding tax credit notes applied	-	-	-	(195,605,606)	(140,261,822)
At 31st March 2026	629,630,650	-	100.00	-	-
24. Other current assets					
Prepaid insurance	6,073,411	5,158,740	17.73	27,360,488	12,759,401
Prepaid fees on loan	726,867	9,440,600	(92.30)	726,867	9,440,600
Prepayment - others	22,771,547	726,867	3,032.84	10,249,496	-
Deferred costs (note 24a)	130,115,658	1,744,835	7,357.19	130,115,658	3,870,000
Prepaid expenses	159,687,483	17,071,041	835.43	168,452,509	26,070,001
24a. Deferred costs					
These represent current portion of costs on environmental evaluation study, audit and costs relating to sale of TIP shares (hybrid Offer).					
Costs on environmental evaluation study	3,870,000	3,870,000	-	3,870,000	3,870,000
Prepaid fees on Loan	-	726,867	(100.00)	-	-
Costs relating to sale of shares (Hybrid Offer)	126,245,658	-	100.00	126,245,658	-
	130,115,658	4,596,867	2,730.53	130,115,658	3,870,000
25 Bridge Financing:					
Operational cash was used to pay for all items of asset- in -transit and additional non current asset that was intended to be funded by inflows from the share sale. Thus the total amount shown below will be paid back from the expected inflow from the share sales when received.					
Costs relating to sale of shares (Hybrid Offer)	126,245,658	-	100.00	-	-
Asset - in - Transit	2,098,202,650	-	100.00	-	-
Non Current assets (additions for the period)	238,610,440	-	100.00	-	-
Total Bridge financing	2,463,058,748	-	100.00	-	-

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NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	2025 N	2024 N
26. Issued Share Capital					
889,981,552 ordinary shares of N0.50 each	444,990,776	444,990,776	-	444,990,776	444,990,776
26.1 Issued Share Capital					
At the 12th - 16th Annual General Meeting held on 23rd March 2015, the paid up share capital of the company was increased by the capitalization of dividends for 2013 and 2014 and also issue of bonus shares to shareholders.					
27. Share premium					
At 1 January	17,780,000	17,780,000	-	17,780,000	17,780,000
At 31st March 2026	17,780,000	17,780,000	-	17,780,000	17,780,000
28. Revaluation Reserve					
On 5 November 2018, the company's property, plant and equipment were revalued by Messrs. Jide Taiwo & Co (Estate Surveyors and Valuers - FRC/2012/0000000000254) on the basis of open market value of N880,800,000. The revalued amount was incorporated in these financial statements. The surplus of N221,263,007 arising therefrom was transferred to revaluation reserve account.					
At 1 January	303,473,535	303,473,535	-	303,473,535	303,473,535
At 31st March 2026	303,473,535	303,473,535	-	303,473,535	303,473,535
29. Retained earnings					
At 1 January	5,006,808,465	1,707,751,603	193.18	1,707,751,603	411,981,089
Adjustments	-	-	-	-	(30,514,639)
Dividends	-	-	-	(88,998,155)	(53,398,893)
Profit for the year	1,125,238,555	375,237,073	199.87	3,388,055,017	1,379,684,046
At 31st March 2026	6,132,047,020	2,082,988,676	194.39	5,006,808,465	1,707,751,603



THE INITIATES PLC
NOTES TO THE FINANCIAL STATEMENTS
FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026	HISTORY YTD 2025	CHANGE	2025	2024
	N	N	%	N	N
30. Trade and other payables					
Trade payables	1,852,883,374	952,369,685	94.56	2,221,595,556	848,844,753
Dividend payable	3,938,617	4,198,824	(6.20)	5,887,283.00	4,198,824
Advances from customer	-	-	-	60,030,879	187,000
Other payables	-	1,241,450	(100.00)	2,265,462	1,054,450
Accruals (note 30.2)	1,276,081,573	786,860,704	62.17	897,476,344	250,115,704
	3,132,903,564	1,744,670,663	79.57	3,187,255,524	1,104,400,731
30.1 Dividend payable					
Unclaimed Dividends	3,938,617	4,198,824	(6.20)	3,938,617	2,314,628
Interest on unclaimed dividends	-	-	-	1,948,666	1,884,196
At 31st March 2026	3,938,617	4,198,824	(6.20)	5,887,283	4,198,824
30.1a Declared Dividends					
At 1 January	-	-	-	-	-
Provision dividends in the period	-	-	-	88,998,155	53,398,893
Payments made during the year	-	-	-	(88,998,155)	(53,398,893)
At 31st March 2026	-	-	-	-	-
30.1b Unclaimed Dividends					
At 1 January	3,938,617	2,314,628	70.16	2,314,628	5,315,094
Unclaimed dividends during the year	-	-	-	1,623,989	-
Payments made during the year	-	-	-	-	(3,000,466)
At 31st March 2026	3,938,617	2,314,628	70.16	3,938,617	2,314,628
Interest on Unclaimed Dividend					
At 1 January	1,948,666	1,884,196	3.42	1,884,196	1,391,097
Interest on unclaimed dividends	-	-	-	64,470	493,099
Payments made during the year	-	-	-	-	-
At 31st March 2026	1,948,666	1,884,196	3.42	1,948,666	1,884,196
30.2 Accruals					
Accrued Audit Fees	2,500,000	1,000,000	150.00	3,000,000	4,000,000
Accrued Directors' Fees	1,300,000	7,112,500	(81.72)	-	5,200,000
Accrued Board Expenses	3,341,128	1,884,226	77.32	57,814,793	-
Accrued Interest on Loan	2,062,027	18,468,747	(88.84)	9,157,327	10,030,320
Accrued Professional Fees	2,750,000	500,000	450.00	2,000,000	2,000,000
Accrued Staff Performance Bonus	1,195,083	20,000,000	(94.02)	50,000,000	20,000,000
Accrued Security and Community Expenses	60,161,472	2,155,590	2,690.95	60,361,472	1,755,590
Accrued Industrial Training Fund	4,863,050	5,309,275	(8.40)	3,726,809	2,525,895
Accrued Waste Disposal	297,461,692	196,600,000	51.30	227,461,692	5,309,275
Accrued Waste Treatment	547,121,600	525,570,685	4.10	247,121,600	196,600,000
Accrued Contract Staff Wages	1,200,000	4,025,895	(70.19)	2,000,000	2,400,000
Accrued consumables	350,176,854	1,274,973	27,365.43	220,176,854	-
Accrued terminal benefits	-	2,800,000	(100.00)	14,595,567	-
Other accrued expenses	1,948,666	158,813	1,127.02	60,230	294,624
Total Accrued Expenses	1,276,081,573	786,860,704	62.17	897,476,344	250,115,704

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NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	2025 N	2024 N
31. Other current tax liabilities					
Pay As You Earn	1,176,774	2,764,907	(57.44)	990,360	936,071
Withholding tax payable	84,483,459	54,000,556	56.45	74,706,826	58,062,224
Value Added Tax - Suppliers	149,817,383	75,382,813	98.74	132,117,947	73,034,955
Value Added Tax - Customers	489,959,187	273,833,771	78.93	389,853,010	221,882,345
At 31st March 2026	725,436,803	405,982,048	78.69	597,668,143	353,915,595
32. Employees' benefits					
Defined contribution plans	5,208,806	7,866,517	(33.79)	4,968,505	5,726,408
32.1 Defined contribution plans					
These represent pension contribution. It is computed as follows: 8% of the employee's basic salary, housing and transport is contributed monthly by the employee and 10% of the employee's basic salary, housing and transport is contributed by the employer. The monthly contribution is remitted to the Pension Fund Administrators in accordance with the Nigerian Pension Reform Act 2014.					
At 1 January	4,968,505	5,726,408	(13.24)	5,726,408	2,995,027
Provision for the period	13,239,278	6,470,243	104.62	33,272,060	16,857,021
Payments made during the period	(12,998,977)	(4,330,134)	200.20	(34,029,963)	(14,125,640)
At 31st March 2026	5,208,806	7,866,517	(33.79)	4,968,505	5,726,408
33 Borrowings:					
These represent loan facility of N700.0 million obtained by The Initiates Plc from Bank of Industry in 2021 for procurement of plant and machinery for the treatment and disposal of oil drilling waste as well as industrial cleaning and decontamination services. The loan has a tenor of 5 years with one (1) year moratorium and interest rate of 8% per annum commencing from the date of first disbursement. The loan was secured with a Bank Guarantee from Providus Bank Plc. The security for the guarantee is as follows:					
- Mortgage Debenture on the Company's assets situated at Plot 400 Location Road, Umuebule 5, Aba/PH Expressway, Port Harcourt, Rivers State, to be valued by a Bank accredited valuer.					
- Irrevocable domiciliation of contract proceeds to Providus Bank.					
- Personal Guarantee of the Managing Director and another director supported by notarized Statements of Networth.					
33.1 Loan facility from Bank of Industry					
At 1 January	98,000,000	350,000,000	(72.00)	350,000,000	550,000,000
Repayments in the period	-	(50,000,000)	(100.00)	(252,000,000)	(200,000,000)
	98,000,000	300,000,000	(67.33)	98,000,000	350,000,000



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL YTD 2026 N	HISTORY YTD 2025 N	CHANGE %	2025 N	2024 N
33.2 Short Term Borrowings					
Providus Bank Plc (note 32.2.1)	-	361,756,548	(100.00)	178,805,728	134,908,950
Invoice Discounting Facility during the year	-	-	-	489,824,787	602,464,418
Repayments during the year	-	(178,805,728)	(100.00)	(668,630,515)	(558,567,640)
At 31st March 2026	-	182,950,820	(100.00)	-	178,805,728
33.2.1 Wema Bank Plc					
At 1 January	-				134,908,950
Invoice Discounting Facility in the year	-	-	-		
Repayments in the year	-	-	-		(134,908,950)
At 31 March 2026	-				-



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026	HISTORY Q1 2025	2025	2024
34. Information regarding directors and employees				
34.1. Directors				
Directors' emoluments comprises:				
Fees	1,300,000	1,912,500	5,200,000	5,200,000
Others - salaries and allowances	15,535,000	15,117,800	142,189,277	39,501,931
	<u>16,835,000</u>	<u>13,020,000</u>	<u>147,389,277</u>	<u>44,701,931</u>
34.1a. Highest paid Director (Managing Director) - emolument	<u>13,020,000</u>	<u>12,432,800</u>	<u>54,007,000</u>	<u>27,360,000</u>
34.1b. Other directors with emoluments	<u>Number Nil</u>	<u>Number Nil</u>	<u>Number Nil</u>	<u>Number Nil</u>
34.1c. The number of directors with gross emoluments within the band stated were:				
	Number	Number	Number	Number
Below N3,000,000	-	-	-	-
N3,000,001 - N7,000,000	-	-	-	-
N7,000,001 and above	1	1	1	1
	<u>1</u>	<u>1</u>	<u>1</u>	<u>1</u>
34.2 Employees				
Average numbers of persons employed during the period:				
Management	15	10	15	10
Senior Staff	18	12	18	12
Junior Staff	27	33	27	33
	<u>60</u>	<u>55</u>	<u>60</u>	<u>55</u>
34.2a Aggregate payroll costs				
	N	N	N	N
Salaries and allowances	44,430,011	24,316,511	341,647,556	186,605,862
The number of employees in Nigeria with gross emoluments within the bands stated were:				
	Number	Number	Number	Number
N1,000,001 - N3,000,000	26	10	26	-
N3,000,001 - N5,000,000	17	17	17	6
N5,000,001 and above	17	20	17	49
	<u>60</u>	<u>47</u>	<u>60</u>	<u>55</u>



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

35. Guarantees and other financial commitments

The company did not guarantee any loan to the directors and officers of the company during the year.

36. Financial commitments

The Directors are of the opinion that all known liabilities and commitments which are relevant in assessing the company's financial statements have been taken into account in the preparation of the financial statements under review.

37. Contingent liabilities

There were no contingent liabilities arising from litigations in the ordinary course of business.

38. Capital commitments

There were no capital commitments at 31st March 2026

39. Events after the reporting date

COVID-19

The Directors are of the view that the going concern or the continuing existence of the Company is not in doubt, as a result of the impact of COVID-19 on their future operations.

40. Earnings per Share

Earnings per share are based on profit after tax and number of fully paid ordinary shares.

	ACTUAL Q1 2026 N	HISTORY Q1 2025 N	2025 N	2024 N
Earnings attributable to ordinary shareholders (in naira)	1,125,238,555	281,733,427	3,595,223,468	1,379,684,046
Number of ordinary shares issued and fully paid for basic earnings per share (in number)	889,981,552	889,981,552	889,981,553	889,981,553
Number of ordinary shares issued and fully paid for diluted earnings per share (in number)	889,981,552	889,981,552	889,981,553	889,981,553
Basic and diluted earnings per share (kobo)	126.43	31.66	403.97	155.02



THE INITIATES PLC

NOTES TO THE FINANCIAL STATEMENTS FOR THE PERIOD ENDED 31ST MARCH 2026

41. Professional firms

The following firms provided professional services to the Company and their FRC registration numbers are stated as follows:

Audit Firm

The audit firm is Madu, Onyekwena & Co. The firm is responsible for the audit of the Company's records and provision of tax consultancy services. The FRC number is FRC/2013/ICAN/00000004886.

Estate Surveyors and Valuers

Jide Taiwo & Co. is the firm that values the Company's assets. The FRC registration number is FRC/2012/00000000254.

Company Secretary

Mrs. Olaide Odejobi is the Company's Secretary. She is responsible for filing accounts with Corporate Affairs Commission, Securities and Exchange Commission together with other secretarial functions. The FRC registration number is FRC/2017/NBA/00000016739.

Registrars

Apel Capital Registrars Limited is the Company's Registrars. They are responsible for keeping the records of shareholders and paying dividends. The FRC registration number is FRC/2017/ICAN/00000014821.



THE INITIATES PLC

OTHER NATIONAL DISCLOSURES



THE INITIATES PLC

STATEMENT OF VALUE ADDED FOR THE PERIOD ENDED 31ST MARCH 2026

	ACTUAL Q1 2026 N		HISTORY Q1 2025 N		2025 N		2024 N	
Revenue from contracts with customers	3,572,761,070		1,204,257,802		11,698,628,274		4,663,473,951	
Other income	37,185,584		-		73,843,240		189,910,803	
	3,609,946,655		1,204,257,802		11,772,471,514		4,853,384,754	
Less: Bought in materials and services								
Imported					14,683,089		61,008,174	
Local	(1,655,333,820)		(544,727,572)		6,198,232,330		2,485,894,344	
Value added	1,954,612,835	100%	659,530,230	100%	5,559,556,095	100%	2,306,482,236	100%
Applied as follows:								
To pay employees' salaries wages and other benefits	44,430,011	2	24,316,511	4	341,647,556	6	186,605,862	8
To pay Government taxation	579,668,347	30	155,257,171	24	1,471,278,448	26	527,842,768	23
To provide for enhancement of assets and expansion:								
- deferred tax	144,914,701	7	144,914,701	22	212,195,994	4	144,914,701	6
- depreciation of fixed assets	60,361,221	3	23,430,364	4	146,379,080	3	67,434,859	3
- retained in the business	1,125,238,555	58	311,611,483	47	3,388,055,017	61	1,379,684,046	60
	1,954,612,835	100	659,530,230	100	5,559,556,095	100	2,306,482,236	100

Note: "Value added" represents the additional wealth which the company has been able to create by its own and its employees' efforts. This statement shows the allocation of that wealth amongst employees, capital providers, government, and that retained for future creation of wealth.



THE INITIATES PLC

FIVE YEARS FINANCIAL SUMMARY

	2025 N	2024 N	31 December 2023 N	2022 N	2021 N
Statement of Financial Position					
Assets employed					
Property, plant and equipment	2,698,515,490	1,930,266,501	1,531,133,502	1,140,204,567	833,863,484
Asset-in-transit	1,040,257,792	150,050,804	120,589,302	265,057,884	-
Intangible assets	10,965,000	-	-	-	-
Other non-current assets	-	4,596,867	17,907,467	31,218,067	29,048,667
Investment in associate	239,467,162	105,619,312	105,259,214	105,140,247	-
Current Assets	7,738,139,394	2,929,728,194	784,878,064	548,397,709	931,537,536
Total Assets	11,727,344,838	5,120,261,678	2,559,767,549	2,090,018,474	1,794,449,687
Equity					
Issued capital	444,990,776	444,990,776	444,990,776	444,990,776	444,990,776
Share premium	17,780,000	17,780,000	17,780,000	17,780,000	17,780,000
Revaluation reserve	303,473,535	303,473,535	303,473,535	303,473,535	303,473,535
Retained earnings	5,006,808,465	1,707,751,603	411,981,089	(53,379,368)	323,300
Foreign currency translation reserve	(19,443,649)	-	-	-	-
	5,753,609,127	2,473,995,914	1,178,225,400	712,864,943	766,567,611
Liabilities					
Non-current liabilities	577,237,574	617,041,580	672,126,879	782,519,191	823,084,353
Current liabilities	5,396,498,137	2,029,224,184	709,415,270	594,634,340	204,797,723
Total liabilities and equity	11,727,344,838	5,120,261,678	2,559,767,549	2,090,018,474	1,794,449,687
Statement of Profit or Loss and Other Comprehensive Income					
Revenue	11,698,628,274	4,663,473,951	1,849,471,769	841,469,215	333,899,008
Profit/(loss) before taxation	5,071,529,459	2,052,441,515	520,951,114	(43,371,614)	(62,236,489)
Income tax expense	(1,683,474,442)	(672,757,469)	(171,546,102)	(10,331,054)	(15,004,809)
Profit/(loss) after taxation	3,388,055,017	1,379,684,046	349,405,012	(53,702,668)	(77,241,298)
Other Comprehensive income					
Exchange difference on translation of investment in foreign associate	(19,443,649)	-	-	-	-
Other comprehensive income for the year	(19,443,649)	-	-	-	-
Total comprehensive income/(loss) for the year	3,368,611,368	1,379,684,046	349,405,012	(53,702,668)	(77,241,298)
Basic earnings/(loss) per share (kobo)	381	155	39	(6)	(9)
Net assets per share (kobo)	646	278	132	80	86

Basic earnings/(loss) per share are calculated on the profit/(loss) after tax and the number of fully paid ordinary shares at the end of each year.

Net assets per share are based on the net assets and the number of fully paid ordinary shares at the end of each year.